

It's been more than a decade now; while India currently has nearly 154,000 MFDs as of October 2024, the number of RIAs remains under 1,000.

THE SIZE CONUNDRUM

"We largely work in smaller towns, catering to retail customers in tier II and III cities... when you work with small customers, RIAs do not make any sense," says Kothari.

Doing all this work for ₹1,000 a year doesn't make sense."

In addition, an RIA, as per Sebi rules, is permitted to charge a fixed fee of up to ₹1.25 lakh or up to 2.5% of assets under advice for their services. However, RIAs typically charge around 0.20-1.25% to their large clients.

People's reluctance to pay separately for advice in India also contributes to the popularity of MFDs, driving customers away

investors, the MFD model is more suitable," says Himanshu Kohli, Co-founder of Client Associates, a wealth management firm.

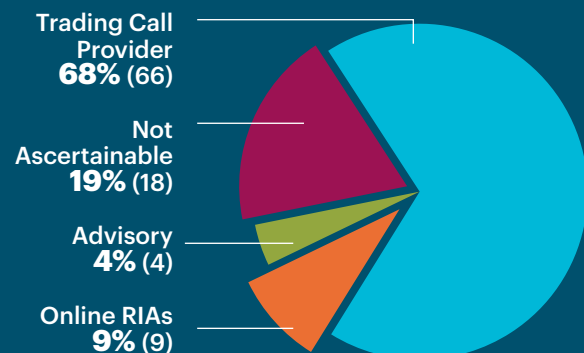
UNDER THE LENS

To safeguard investors, Sebi has introduced tougher guidelines for finfluencers. Now, Sebi-registered entities like brokers and MFs are prohibited from associating with unregistered finfluencers.

PLAINT FACTS

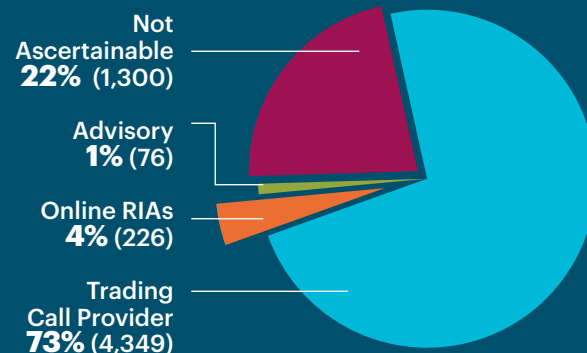
- As many as 68% of trading call provider entities have received complaints against them, and they account for 73% of the total complaints

Complaints against RIAs



DATA AS OF MARCH 31, 2024; FIGURES IN BRACKETS INDICATE NUMBER OF RIAs **SOURCE ARIA**

Total no. of complaints



DATA AS OF MARCH 31, 2024 **SOURCE ARIA**

From an RIA perspective, they need clients of a certain size to be commercially sustainable. Kothari explains: "For a ₹1-crore client, an MFD receives an annual commission of ₹60,000, calculated at 60 bps per ₹100, while an RIA gets a fee of ₹20,000 at 20 bps. However, for a client with a ₹5-lakh investment, the commission of 60 bps per ₹100 charged by an MFD amounts to ₹3,000, whereas the 20 bps as RIA fees is about ₹1,000.

from RIAs. "The penetration of financial products and MFs is still relatively low in India. In a nascent market, there's resistance to paying separately for intangible advice, making it easier for intermediaries to earn through commissions," says Sapna Naring, Managing Partner at Capital League, a Gurugram-based wealth management firm.

"The RIA model is suitable for HNI/UHNI investors. For retail

However, the distinction between advice and education offered by finfluencers is often blurred. Sharan Hegde is one of the first finfluencers to secure an RIA licence through a subsidiary company (rather than in his own name). In just three months after launching his financial advisory services, he attracted 160 clients. This highlights the high demand for professional financial advice.

Hegde may serve as a test case.